

1991, and since then the story of Indian steel growth has been magnanimous. In the year 1990, our steel production capacity was nearly 15 million tonnes, which has crossed 72 million tonnes in 2010. We have merged into the free trade market in global terms, and now stand as the third largest steel producing country in the world in the year 2009. Steel pricing is a complex process. It depends upon many factors such as, cost of raw materials, transportation and logistics cost, energy, manpower, capital and finally the demand – supply situation and price movement in the international market. Coking coal an important raw materials for steel making, have to be largely imported at prices determined by international players. Moreover, the input costs vary widely between the individual companies, technologies and sectors. So, market is the best determinant of steel price and a regulatory mechanism will not work. However, I know that, market price of steel is very important for the consumers and common man. Therefore, we very closely watch the domestic market price vis-à-vis other factors and take appropriate fiscal measures to maintain a stable price, while at the same time keeping in mind the healthy growth of the industry.

Q Although integrated steel units, more or less are able to meet the environmental standards, there are a large number of small and stand-alone steel units which remain completely unregulated from pollution control norms : Any plans to introduce a stricter pollution norms?

Environment Protection Acts and Rules are framed by Ministry of Environment & Forests (MoEF) and State Pollution Control Boards and State Pollution Control Committees are the implementing authorities for implementation of the Standards. However, Central Pollution Control Board/Committees for implementation of the notified standards and also does inspection of the units for compliance. Ministry of Steel is not directly engaged in the aforesaid activities though it facilitates the process of formulation of environmental standards for iron & steel plants by CPCB. Ministry of Steel is also represented in some of the committees under CPCB and MoEF for implementation of Standards.

Q Raw material export is often criticized. At the same time there are people who support large scale export of raw material stating that this is essential to sustain the mining industry. What is the government's view on

regulating the export of raw material, particularly iron ore?

Ministry of Steel is of the view that the precious raw materials, specifically minerals like iron ore, are non-renewable natural resources and should be conserved for the long term utilization of the domestic steel industry. Ministry of Steel is also of the view that instead of exporting raw materials like iron ore, the country should aim at exporting value added products like steel and other finished goods. However, the Government is also aware that totally banning the export of iron ore may not be in the interest of mining industry and the people dependent on the mining industry for their sustenance. The Government has accordingly taken a stand that iron ore resources of the country should be conserved for the use of domestic steel industry by discouraging the export of iron ore through fiscal measures. Ministry of Steel is taking up matter regularly for imposition of an appropriate export duty on iron ore.

Q Recently, government had disinvested its shares in NMDC. Do you have plans to disinvest in other PSUs under your control? If so, when and how?

A proposal for raising additional equity by SAIL to the extent of 10% paid-up capital and disinvestment of GOI holding in SAIL up to 10% of the paid-up capital in two equal tranches is under consideration of the Government.

Similarly, a proposal for disinvesting 10% of total equity held by Government in Manganese Ore India Limited (MOIL) is also under process.

Q India's steel demand is abnormally low at world standards. At the same time, being a developing country there is a tremendous potential for us to increase our per capita steel consumption. What are you ideas in steel consumption increase on sectoral basis?

Our per capita consumption is also set to grow at 10% or so, with rising income level, awareness and better steel intensive designs. We should not only aim at increasing per capita consumption, but also providing steel based products to the common man at highly affordable prices. Basic designs of infrastructures, such as bridges, flyovers in India have a higher cement to steel ratio, as compared to world standards. We have to bring in advanced structural designs to the country, where the civil structures will not only be steel intensive, but also will be light weight, stronger, aesthetical and cost effective. You can already see such designs in airports and urban buildings.

